TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Growth and economies of scale



1 Understanding business activity
1.3 Enterprise, business growth and size; 4.4 economies of scale

A revision lesson. Pupils run a car dealership in firms of four and revise growth and economies of scale on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Bulk order saving

Round 1

One big order.

Saved on the whole order?

List price per car	**£17,000**
Discount on big orders	**5%**
Cars in the big order	**11 cars**

ANSWER

£9,350

11 × 5% × £17,000 = £9,350

Why: Each car saves £850. The order saves £9,350.

2 Economies of scale

Round 1

Your firm doubles in size.

Which two are economies of scale?

- **A** Higher rent for a bigger site
- **B** Cheaper loans as a bigger firm
- **C** Staff feel less valued
- **D** Slower decisions
- **E** Bulk discounts from suppliers

ANSWER

✓ Cheaper loans as a bigger firm
✓ Bulk discounts from suppliers

Why: Bulk buying and cheaper finance cut the cost per car.

3 Rank cost per car

Round 2

Three dealers: total costs and cars sold.

Order by cost per car, lowest first?

- **A** £200,000 for 80 cars
- **B** £50,000 for 10 cars
- **C** £90,000 for 30 cars

ANSWER

1. £200,000 for 80 cars
2. £90,000 for 30 cars
3. £50,000 for 10 cars

Why: £2,500, £3,000, £5,000 a car.

Topic tasks

4 Unit cost per car

Round 2

A month of sales.

Unit cost: cost per car sold?

Fixed costs, a month	**£3,600**
Variable costs, a month	**£133,200**
Cars sold a month	**8 cars**

ANSWER

£17,100

(£3,600 + £133,200) ÷ 8 = £17,100

Why: Unit cost is all the costs shared between the cars.

5 Branch or takeover

Round 3

You want to grow with little risk: one more branch paid from profit, or a takeover on a big loan.

Which should you choose, and why?

A One more branch from profit

B A takeover on a big loan

ANSWER

✔ One more branch from profit

Why: Growing from profit avoids a big debt and a firm you do not know.

6 Bigger yard saving

Round 3

A bigger yard?

Fall in cost per car?

Total costs now	**£157,500**
Cars sold now	**15 cars**
Total costs, big yard	**£277,200**
Cars sold, big yard	**28 cars**

ANSWER

£600

£157,500 ÷ 15 = £10,500; £277,200 ÷ 28 = £9,900

Why: The bigger yard cuts the cost of each car by £600.

Final questions

Each pupil answers 6 final questions on growth and economies of scale. They come from these 11 questions.

1 Which action is an example of organic growth for a motor retailer?
✔ **Opening another branch with its own money**

2 A dealer group combines branch orders and negotiates a lower unit price from a supplier. What is the direct benefit?
✔ **Lower cost per part**

3 A dealer group expands rapidly and decisions slow because branches and head office communicate poorly. What is this an example of?
✔ **A diseconomy of scale**

4 An entrepreneur opens a branded vehicle-rental outlet using the parent company's name and system in return for fees. What arrangement is this?
✔ **A franchise**

5 A dealer buys an established repair chain instead of building new sites itself. What is a main potential advantage of this external growth?
✔ **Faster access to operating sites, customers and skilled staff**

6 Before the CEO opens a second branch, what should be checked?
✔ **Demand, finance and staffing**

7 A dealer group buys 500 tyres at once and pays less per tyre than a small garage does. Which economy of scale is this?
✔ **Purchasing economies**

8 A dealer's total costs are £600,000 for 300 cars. After growing, they are £880,000 for 500 cars. What happens to the cost per car?
✔ **It falls by £240**

9 A large dealer group buys 500 cars at once and pays a lower price for each car. Which economy of scale is this?
✔ **Purchasing economies**

10 A workshop's costs are £36,000 for 300 services a month. Next month it does 400 services for £40,000. What is the new cost per service?
✔ **It falls to £100**

Final questions

11 A dealer group grows to 30 sites. Messages from head office now take days to reach staff. What is this an example of?

✔ **A diseconomy of scale**